

25AVCV01621 25AVCV01621

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Case Number: 25AVCV01621 Hearing Date: July 28, 2026 Dept: A14

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF LOS ANGELES – NORTH DISTRICT

GARY DUBIN.

Plaintiff,

v.

MADERA HOLDINGS, LLC, a California limited liability company; DOUGLAS G. HOPPE, an individual; ANGELA M. HOPPE, an individual; DP COMMERCIAL BROKERAGE, INC., a California corporation; MICHELLE FLANNEGAN ROYAL, an individual; and DOES 1 through 10, inclusive,

Defendants.

Case Number 25AVCV01621

[TENTATIVE]

STATEMENT OF DECISION

Date of Hearing: July 28, 2026

Dept. A-14

Judge William H. Forman

I. Background

This is a breach of contract case arising from Plaintiff's purchase of real property located at 205 W. Avenue H-6, Lancaster, CA 93534 (the Property).

On December 8, 2025, Plaintiff Gary Dubin (Plaintiff) filed his complaint against Madera Holdings, LLC (Madera), Douglas G. Hoppe, Angela M. Hoppe, DP Commercial Brokerage, Inc. (DPCB), Michelle Anne Royal (Royal), and DOEs 1 through 10, asserting four causes of action for (1) breach of contract, (2) intentional interference with prospective business advantage, (3) negligent interference with prospective business advantage, (4) fraud, and (5) unfair business practices.

Specifically, Plaintiff alleges that on or around September 23, 2022, Plaintiff submitted an offer for the purchase of the Property (Offer) from Madera for \$1,350,000 to replace the location of Plaintiff's recreational vehicle repair business, Always On Time Auto & RV Repair. (Compl., ¶ 14.) Madera, the seller of the Property, was represented in the sale by Royal, of DPCB. (Compl., ¶ 15.) Douglas G. Hoppe and Angela M. Hoppe (together the Hoppes) are the managers of DPCB. (Compl., ¶ 15.) Plaintiff alleges that Defendants were aware of Plaintiff's specific needs related to his purchase of the Property and the urgency to purchase to avoid business interruption and loss, as his lease was coming to an end on October 31, 2022. (Compl., ¶¶ 16-17.)

Plaintiff alleges that Defendants concealed significant issues with the Property until after Plaintiff's right to cancel the agreement without penalty had passed. (Compl., ¶ 21.) Despite the eventual disclosure, Plaintiff states he received notice to vacate his then-current business location as his lease had terminated, and Plaintiff agreed to reduce the purchase price by \$90,000, purchase the Property in an "as-is" condition, and entered into a lease agreement to rent the Property for one year pending the close of escrow. (Compl., ¶¶ 25-28.) Plaintiff further alleges that he has expended approximately \$177,689.43 to finalize returning to the Property, but since August 22, 2022, due to the utility issues with the Property, has experienced difficulty in obtaining a commercial loan to finance and close the sale. (Compl., ¶¶ 29, 31.)

Plaintiff states that escrow was postponed to permit Plaintiff time to secure a loan, but throughout the process, Defendants have acted in bad faith by failing to cash checks which makes it appear as though Plaintiff has defaulted on the Lease, have caused Plaintiff to suffer financial hardship by his significant monetary investment in the Property, which will result in unjust enrichment to the Defendants if the Property reverts entirely back to Defendants, failed to cooperate with Plaintiff and permit SCE to restore power to the Property resulting in a significant delay and the Property having no power until January 18, 2024, and have interfered with Plaintiff's business, as he has lost several employees and sales throughout the process. (Compl., ¶¶ 28-31, 38-40.) Escrow on the Property still has not closed, and the Property is presently owned by Madera and leased by Plaintiff. (Compl., ¶ 4.)

On March 30, 2026, DPCB and Royal collectively filed an answer to the complaint.

On April 1, 2026, Defendants Madera Holdings, Douglas G. Hoppe, and Angela M. Hoppe (together Defendants) filed a demurrer to Plaintiff's complaint.

On April 13, 2026, Plaintiff filed an opposition to Defendants' demurrer.

On July 21, 2026, Defendants filed their reply.

II. Preliminary Procedural Issues

Meet and Confer Requirement – Before filing a demurrer, the demurring party is required to meet and confer at least five days before the date the responsive pleading is due, in person, by telephone, or by video conference, with the party who filed the pleading demurred to for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer. (Code Civ. Proc., § 430.41, subd. (a).) The demurring party shall file and serve with the demurrer a declaration stating the means by which the parties met and conferred and that the parties did not reach an agreement to resolve the issues raised, or that the party who filed the pleading demurred to failed to respond or otherwise failed to meet and confer in good faith. (Ibid.)

Here, Defense counsel states that counsel for both parties met and conferred regarding the present demurrer via videoconference on March 10, 2026, after Defense counsel sent an e-mail to Plaintiff's counsel setting forth the issues to be discussed. (Pitha Decl., ¶ 3.) Counsel further met and conferred via e-mail and a phone call to ensure there was no resolution, and the parties have been unable to come to an agreement. (Ibid.)

The Court finds the meet and confer requirement is satisfied.

III. Request for Judicial Notice

Defendants' Request for Judicial Notice – Defendants request that the Court take judicial notice of two documents: (1) the Statement of Information for Defendant Madera Holdings of CA, LLC, dated October 30, 2022, and (2) the Statement of Information for Defendant Madera Holdings of CA, LLC, dated December 23, 2024, both of which were obtained from the online California Secretary of State Business Portal. (See Notice of RJN, p. 1, ¶¶ 1-2, Exs. A-B.)

California Evidence Code section 452 permits judicial notice being taken of (1) official acts of the legislative, executive, and judicial departments of the United States and of any state of the United States, and (2) facts and propositions not reasonably subject to dispute and capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy. (Evid. Code, § 452, subds. (c), (h).) California Evidence Code section 453 mandates a court take judicial notice of a matter specified in section 452 if a party so requests, gives the adverse party sufficient notice through pleadings or otherwise, and furnishes the court with sufficient information to enable it to take judicial notice. (Evid. Code, § 453, subd. (a), (b).)

The Court may take judicial notice of a business' filings on the California Secretary of State's website pursuant to California Evidence Code section 452, subdivision (c). (See *City of Alameda v. Sheehan* (2024) 105 Cal.App.5th 68, 81, fn.7 [taking judicial notice of business' filing on the California Secretary of State's website]; *Fowler v. Howell* (1996) 42 Cal.App.4th 1746, 1750 [permitting "trial court to take judicial notice of records and files of state administrative board"].) Defense counsel states he has reviewed the records filed by Madera with the California Secretary of State and has attached true and correct copies of the Statements of Information filed on October 3, 2022 and December 23, 2024, which reflect Madera's members as reported to the California Secretary of State. (Pitha RJN Decl., ¶¶ 2-3.) Defendants have provided copies to the Court, sufficiently identified the documents, and have served the documents on Plaintiff along with the request.

Therefore, Defendant's request for judicial notice is GRANTED.

IV. Legal Standard

Standard for Demurrer – A party against whom a complaint has been filed may object by demurrer to the pleading on the ground that the pleading does not state facts sufficient to constitute a cause of action. (Code Civ. Proc., § 430.10, subd. (e).)

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations reasonably, liberally, and in context. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

As a general matter, in a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleading alone, and not the evidence or facts alleged.” (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint’s properly pleaded or implied factual allegations. (Ibid.) Courts must “treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (Blank, supra, 39 Cal.3d at 318.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn, supra, 147 Cal.App.4th at 747.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Id.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 126.) The threshold for meeting this burden is low, and “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245).

V. Discussion

Application – Defendants demur to each individual cause of action in Plaintiff’s complaint pursuant to Code of Civil Procedure section 430.10, subdivision (e) on the grounds that each cause of action fails to state facts sufficient to constitute a cause of action. (See Demurrer, pp. 1-2.) Plaintiff argues in opposition that the demurrer should be overruled, as Plaintiff’s complaint states facts sufficient to constitute causes of action and Defendants demur on factual, not legal, grounds. (Opp., p. 3:15-16, 4:1-2.)

a. Maintenance of Causes of Action Against the Hoppes

Defendants contend that the complaint and exhibits establish that Madera was the seller of the Property, that the Hoppes only signed as members of Madera, and that Plaintiff thus cannot assert any causes of action against the Hoppes personally because they are not parties to any contract and acted solely on behalf of disclosed seller Madera. (Demurrer, p. 12:16-17, 23-24.) Defendants further argue that to the extent Plaintiff claims that either or both of the Hoppes are responsible in tort, nothing in the complaint alleges that either made a representation to Plaintiff, when either did so, what words were used, or allege any further information as required to maintain a cause of action against the Hoppes. (Demurrer, p. 13:1-4.) Finally, Defendants argue there is no allegation of alter ego or personal liability which could attach to maintain this action against the Hoppes. (Demurrer, p. 13:4-5.)

Plaintiff’s opposition is silent on this issue.

Here, it is undisputed that the Hoppes are the two managers and members of Madera, a limited liability company (LLC). (Demurrer, p. 12:16-17; RJN, Ex. A, B.) Furthermore, the exhibits attached to the complaint show on their face that in executing the Agreement, the Hoppes signed in their capacities as members of Madera, and not in an individual capacity. (Compl., Ex. 1, PDF p. 17; Demurrer, p. 12:16-20.) Finally, Plaintiff himself alleges that the owner and seller of the Property is Madera, and not the Hoppes. (Compl., ¶¶ 2, 14, Ex. 1, PDF p. 16; Demurrer, p. 12:18.)

“Corporations Code section 17300 provides: ‘A membership interest and an economic interest in a limited liability company constitute personal property of the member or assignee. A member or assignee has no interest in specific limited liability company property.’ (See Denevi v. LGCC, LLC (2004) 121 Cal.App.4th 1211, 1214, fn. 1 [] [“Like corporate shareholders,

members of a limited liability company hold no direct ownership interest in the company's assets."]; PacLink Communications Internat., Inc. v. Superior Court (2001) 90 Cal.App.4th 958, 964 [.] As these opinions explain, a limited liability company is a hybrid business entity formed under the Corporations Code consisting of at least two members who own membership interests. The company has a legal existence separate from its members. While members actively participate in the management and control of the company, they have limited liability for the company's debts and obligations to the same extent enjoyed by corporate shareholders. [Citation.]")

(Kwok v. Transnation Title Ins. Co. (2009) 170 Cal.App.4th 1562, 1570-1571.) Kwok construed former Corporations Code section 17300, part of the Beverly-Killea Limited Liability Company Act, which was repealed effective January 1, 2014 and replaced by the California Revised Uniform Limited Liability Company Act (Corp. Code, § 17701.01 et seq.). The substance of former section 17300 is continued in Corporations Code section 17705.01, and the principles stated in Kwok remain good law.

Generally, the debts, obligations, or other liabilities of an LLC arising in contract, tort, or otherwise are solely those of the LLC and do not become the debts, obligations, or other liabilities of a member or manager solely by reason of the member acting in such capacity for the LLC. (Corp. Code, § 17703.04, subd. (a).) Therefore, a member of an LLC generally may only be subject to liability under the common law governing alter ego liability, under a judgment of a court, or for any debt, obligation, or liability of the LLC to the same extent as a shareholder of a corporation may be held liable for a corporation's liabilities. (Corp. Code, § 17703.04, subd. (b).)

However, this is not to say the Hoppes are therefore automatically immune from suit. A member of an LLC remains liable for that member's own participation in tortious conduct, or pursuant to the terms of a written guaranty or other contractual obligation entered into by the member in an individual capacity apart from the LLC. (Corp. Code, § 17703.04, subd. (c). ("Nothing in this section shall be construed to affect the liability of a member of a limited liability company to third parties for the member's participation in tortious conduct, or pursuant to the terms of a written guarantee or other contractual obligation entered into by the member, other than an operating agreement."))

Therefore, the Court will analyze the causes of action as to Madera and the Hoppes. Plaintiff is not necessarily barred from bringing suit against the Hoppes in connection with the sale of the Property if Plaintiff alleges that the Hoppes incurred any liability in their personal capacities.

b. First Cause of Action – Breach of Contract

"To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) plaintiff's performance of the contract or excuse for nonperformance, (3) defendant's breach, and (4) resulting damage to the plaintiff." (Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1186.)

Defendants argue that the complaint fails to state facts sufficient to constitute a cause of action for breach of contract, as no contract required Defendants' involvement as to utilities, and thus, no obligation existed, and no breach occurred. (Demurrer, p. 9:14-17.) Defendants point to the language of the contract for the purchase of the Property (Agreement), the language of the January 2023 amendment to the Agreement (Amendment), and Plaintiff's claims and factual allegations in the complaint.

Specifically, Defendants note that Plaintiff acknowledged the existing condition of the Property and purchased it 'as is.' (Demurrer, p. 3:27.) The Agreement, dated October 6, 2022, states, in relevant part:

"12.2 Buyer hereby acknowledges that, except as otherwise stated in this Agreement, Buyer is purchasing the Property in its existing condition and will, by the time called for herein, make or have waived all inspections of the Property Buyer believes are necessary to protect its own interest in, and its contemplated use of, the Property. The Parties acknowledge that, except as otherwise stated in this Agreement, no representations, inducements, promises, agreements, assurances, oral or written, concerning the Property, or any aspect of the occupational safety and health laws, Hazardous Substance laws, or any other act, ordinance or law, have been made by either Party or Brokers, or relied upon by either Party hereto.

12.3 In the event that Buyer learns that a Seller representation or warranty might be untrue prior to the Closing, and Buyer elects to purchase the Property anyway then, and in that event, Buyer waives any right that it may have to bring an action or proceeding against Seller or Brokers regarding said representation or warranty.”

(Demurrer, p. 3:19-26; Complaint, Ex. 1, PDF p. 26.)

Defendants further note that Plaintiff agreed to assume the balance of bringing power and water to the property. (Demurrer, p. 3:27-28.) The Agreement as accepted states as follows:

“A. Buyer shall have thirty (30) days from the later of the Date of Agreement or the Date upon which Buyer receives Seller Disclosures including the Property Information Sheet and Seller’s Mandatory Disclosure Statement to determine whether or not any additional costs will be borne by Buyer after the Close of Escrow related to installation of new dedicated electrical power and new dedicated water from Los Angeles County Water are acceptable to Buyer.

...

D. Buyer is aware that seller is in the process of bringing dedicated power to the subject building and buyer will assume balance of said project at buyer’s expense. Buyer will have the right to review all current project documentation.

E. Buyer is aware that seller is in the process of bringing dedicated water from Los Angeles County Water and buyer will assume balance of said project at buyer’s expense. Buyer will have the right to review all current project documentation.”

(Demurrer, p. 4:2-5; Compl., Ex. 1, PDF p. 16, 18.)

Defendants argue that the January 12, 2023 Amendment further confirms that Plaintiff was buying the Property ‘as is,’ that he understood the condition of the utilities, that he assumed all responsibility for bringing utilities to the Property, that he received a \$90,000 purchase price reduction in exchange for his assumption of these responsibilities, and that he agreed to release and relieve Defendants from responsibility. (Demurrer, p. 5:1-7. 8:15-16.) The Amendment states in relevant part:

“6. Buyer and seller agree that the property is being sold in its current as is condition. Buyer states that they have inspected the property and understand the current condition of utilities to the subject property. Buyer will assume all responsibility for bringing all utilities to the subject property at buyer’s expense. Buyer has agreed to receive the reduction in purchase price as mentioned above in lieu of utility installations. Buyer agrees to release and relieve seller, DP Commercial Brokerage, Inc, their agents and employees and Stratton International,…”

(Demurrer, p. 4:24-27; Compl., Ex. 4, PDF p. 164.)

In opposition, Plaintiff argues that the Agreement states that “the Parties shall each, diligently and in good faith, undertake all actions and procedures reasonably required to place the Escrow in condition for Closing as and when required by this Agreement.” (Opp., p. 5:14-16; Compl., Ex. 1, PDF p. 27, ¶ 15.) Plaintiff argues the complaint alleges various occasions on which Defendants were in breach of this provision in the Agreement and were at fault for escrow not closing and remaining open to date, including “due to Defendant’s failure to timely and in good faith disclose all material or adverse conditions of the Property and cooperate with Plaintiff to coordinate the utility projects.” (Opp., p. 5:16-19; Compl., ¶ 26.) Plaintiff also notes that the factual bases for the claim are that SCE refused to work with Plaintiff and required the process to be handled by Property owner Madera, including communications, execution of all paperwork, and obtaining permits, which Defendants failed to cooperate with in good faith. (Opp., p. 5:20-23; Compl., ¶ 28.)

On Reply, Defendants cite the first sentence of paragraph 51 of the addendum to the lease agreement (Lease) entered into by Madera and Plaintiff. That paragraph states, in full:

“51. ALL PARTIES ARE AWARE THAT THE SUBJECT PROPERTY DOES NOT HAVE ELECTRICAL SERVICE OR DEDICATED WATER SERVICE AT THIS TIME. LESSEE SHALL SUPPLY THEIR OWN ELECTRICAL SERVICE FOR THEIR SPECIFIC USE DURING THEIR OCCUPANCY. LESSOR MAKES NO REPRESENTATION AS TO THE TIME FRAME FOR ELECTRICAL SERVICE BEING ESTABLISHED AT THE SUBJECT PROPERTY. ALL PARTIES ARE AWARE THE LESSEE AND LESSOR ARE IN CONTRACT FOR THE LESSEE TO PURCHASE SUBJECT PROPERTY FROM LESSOR. THIS LEASE SHALL TERMINATE AT THE CLOSE OF ESCROW. ALL PARTIES ARE FURTHER AWARE THE PURCHASE SHALL BE SUBJECT TO THE REESTABLISHMENT OF ELECTRICAL SERVICE AND DEDICATED WATER SERVICE TO THE SUBJECT PROPERTY. LESSE AND LESSOR HOLD HARMLESS DP COMMERCIAL BROKERAGE, INC AND THEIR AGENTS AND STRATTON INTERNATIONAL AND THEIR AGENTS FROM ANY AND ALL LIABILITY BOTH LEGALLY AND EQUITABLY IN CONNECTION WITH OCCUPANCY PRIOR TO THE CLOSE OF ESCROW, CURRENT STATE OF ALL UTILITY SERVICES AND TIME FRAMES FOR THE ESTABLISHMENT OF SAID UTILITIES.”

(Compl., Ex. 5, PDF p. 166, ¶ 51; see Reply, p. 1:26-28 [quoting first sentence only].)

Here, taking all factual allegations in the complaint as true, and considering the terms of the Agreement, Amendment, and Lease, the Court finds that the complaint fails to state facts sufficient to constitute a breach of contract cause of action as to both Madera and the Hoppes.

i. Breach of Contract as to Madera

Plaintiff has satisfied the first element of proving the existence of a contract with Madera, as the Agreement is attached to the complaint. (Compl., Ex. 1.) Plaintiff has adequately pleaded the second element. The Complaint states that “Plaintiff fully performed all requirements under the contract.” (Compl., ¶ 46.) That general allegation is sufficient at the pleading stage: performance of conditions precedent may be pleaded generally, and a plaintiff need not plead the evidentiary facts of performance. (Code Civ. Proc., § 457; *Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371, 1389.) The Court therefore does not sustain the demurrer on this ground. The defect lies instead in the third and fourth elements, breach and causation, as discussed below.

As to Madera’s breach of the contract, the complaint does not allege that Madera breached the contract by failing to pay for the restoration of utilities to the Property. Rather, the complaint makes clear that Plaintiff brought the present action in regard to the damages suffered as a result of the fact that escrow has not closed on the sale of the Property. (Compl., ¶¶ 4-5.) The Agreement states in relevant part that “the Parties shall each, diligently and in good faith, undertake all actions and procedures reasonably required to place the Escrow in condition for Closing as and when required by this Agreement.” (Compl., Ex. 1, PDF p. 27, ¶ 15.)

The complaint alleges the following relevant facts: (1) escrow was expected to close within three months of the Agreement, on or around January 7, 2023, but has been delayed due to Madera’s failure to timely and in good faith disclose all material or adverse conditions of the Property and cooperate with Plaintiff to coordinate the utility projects (Compl., ¶ 26); (2) after execution of the Agreement, Amendment, and Lease, on February 6, 2023, Plaintiff began the process for connecting electricity to the Property and learned that SCE required the entire process to be handled by Madera, including all communications, execution of paperwork, and obtaining permits, and Madera failed to cooperate in good faith (Compl., ¶¶ 28, 30); (3) Since August 22, 2022, Plaintiff has been unable to qualify for financing, as loan approval is conditional upon the water and power installed on the Property (Compl., ¶¶ 31-32); (4) electrical power was restored to the Property on January 18, 2024 (Compl., ¶ 29); (5) Madera refuses to resolve the issues in good faith with Plaintiff, including actively cooperating and coordinating with the utilities process or financing Plaintiff so he may resolve the issues directly as the owner of the Property (Compl., ¶¶ 33-34); (6) on August 4, 2023, the parties agreed to extend escrow up to 12 more months, through June 30, 2024, during which time Plaintiff would continue to lease the Property, to allow Plaintiff more time to resolve the pending utilities issues and difficulties in qualifying for a loan (Compl., ¶ 35); (7) from February 9, 2024 through April 30, 2025, Plaintiff continued exploring potential lenders and applied for various loans without success due to the utilities issues (Compl., ¶ 36); and (8) on May 23, 2025, Plaintiff’s broker John Little emailed Madera requesting that it finance Plaintiff’s purchase of the

property to allow him to continue investing as owner, to which Madera did not respond (Compl., ¶ 37, Ex. 8).

The complaint fails to state facts sufficient to show that Madera breached a contract. While Plaintiff's complaint ultimately alleges that Madera breached the Agreement, including by failing to deliver the Property as outlined in the Agreement, failing to cooperate with Plaintiff to restore water and power to the Property, by failing to timely or at all cash Plaintiff's checks written to Defendant, and failing to cooperate with Plaintiff such that Plaintiff could close escrow, these statements are either inconsistent with the Agreement, Amendment, Lease, or subsequent amendments to escrow instructions in which Plaintiff agreed to extend the time to close escrow, or are generally insufficient to establish a breach. (Compl., ¶ 46.)

The complaint states that Plaintiff experienced difficulty in obtaining financing for the purchase of the Property since August 22, 2022, due to utility issues, which was one month before Plaintiff received Madera's counteroffer. Madera's counteroffer, dated September 27, 2022, states, in relevant part, that the buyer, here Plaintiff, is aware that Madera was in the process of bringing dedicated power and water to the building and that Plaintiff would assume the balance of said projects at his own expense. (Compl., Ex. 1, PDF p. 18, ¶ 1(D), (E).) On September 30, 2022, Plaintiff sent a counteroffer to Madera, which amended Madera's counteroffer to provide Plaintiff 30 days from the later of the date of the Agreement or the date upon which he received Madera's disclosures to determine whether any additional costs to be borne by Plaintiff after the close of escrow related to the installation of new dedicated electrical power and new dedicated water were acceptable, which Madera accepted. (Compl., Ex. 1, PDF p. 16, ¶ 1(A).)

The complaint states that Plaintiff is unable to obtain financing to complete the purchase of the Property due to the utility issue and establishes that power was restored to the Property on January 18, 2024. Plaintiff's complaint is silent on the issue of how Madera's actions impaired the installation of water, or how Madera's actions are presently preventing the close of escrow beyond the conclusory statement that Madera's lack of good faith cooperation with Plaintiff and SCE delayed bringing power to the Property and made the process more extensive, an undertaking which was completed within one year of Plaintiff's occupancy of the Property and completed over two years ago.

The Court notes that Plaintiff asserts it was impossible to establish electrical power on the Property absent cooperation from Defendants, that Defendants failed to cooperate, and that power was nonetheless restored in January 2024. Those allegations are in tension, but they are not necessarily contradictory: the complaint may be read to allege that Madera's cooperation was eventually forthcoming, or that Plaintiff found a costlier workaround, and on demurrer ambiguities are resolved in Plaintiff's favor. What the complaint does not do is connect Madera's alleged non-cooperation to the failure of escrow to close. To this end, the Complaint fails to state facts sufficient to establish Madera's breach of the contract provision in the Agreement requiring Madera's good faith undertaking of all actions and procedures required to close escrow, as it appears from the allegations in the Complaint that Madera's participation in the utility process, the responsibility for which was expressly delegated to Plaintiff, was not required. To the extent that Plaintiff insinuates that Madera breached the contract in refusing to finance Plaintiff's purchase of the Property, the Court rejects this argument outright. The provision requiring Madera to undertake all actions and procedures reasonably required to close escrow cannot be read to have placed Madera under a legal duty or obligation to finance Plaintiff's purchase of the Property where he was otherwise unable to obtain financing elsewhere.

The complaint alleges the following relevant facts as to resulting damages: (1) Madera's refusal to coordinate with Plaintiff and SCE significantly delayed the process of restoring electrical power to the Property, the finalization of which became much more extensive, and power was not restored to the Property until January 18, 2024, ultimately costing Plaintiff approximately \$177,689.42 (Compl., ¶ 29), (2) Plaintiff's out-of-pocket expenses are increasing, including the cost for a water meter permit which has increased to approximately \$24,000 and costs for labor, excavation, and installation (Compl., ¶ 36); and (3) Plaintiff has been damaged as a result of lost business profits, money expended to restore power to the Property and renovate the Property to a habitable condition, loss of employees, loss of income, and mental and emotional damage. (Compl., ¶ 48.)

While these facts are sufficient to establish the element of damages, for the reasons stated above, the Complaint fails to establish that these damages are a result of Madera's breach and not merely a result of Plaintiff's inability to obtain financing to complete the projects and close escrow.

ii. Breach of Contract as to the Hoppes

Plaintiff has not established the existence of a contract between Plaintiff and the Hoppes. As discussed above in executing the Agreement, the Hoppes were acting in their capacities as members of Madera which does not subject them to liability for the contract or any breach thereof.

Therefore, Defendants' demurrer to the first cause of action is SUSTAINED. However, the Court notes that Madera was obligated under paragraph 15 of the Agreement to act in good faith to undertake all actions and procedures reasonably required to place the escrow in condition for closing, and that pursuant to paragraph 51 of the Lease addendum, executed January 12, 2023, Plaintiff's purchase of the Property was expressly "SUBJECT TO THE REESTABLISHMENT OF ELECTRICAL SERVICE AND DEDICATED WATER SERVICE." An amended pleading that identifies the specific acts of cooperation Madera was asked to perform, when it was asked, what it refused, and how that refusal (rather than Plaintiff's inability to obtain financing) prevented the close of escrow may state a claim. The Court also notes that, as stated above, the Hoppes are not immune from suit for breaches and tortious conduct in their own individual capacities outside of the at-issue Agreement, Amendment, and Lease. Plaintiff as of now has failed to allege any contract between the Hoppes and Plaintiff. Thus, while the Court is granting leave to amend as to the Hoppes, the Court reiterates that the Complaint does not even mention a contractual relationship between the Hoppes and Plaintiff. The Court expects Plaintiff to exercise discretion and professional judgment in making such an allegation in an amended pleading.

The Court does not reach Defendants' alternative arguments that the release in paragraph 6 of the Amendment bars the first cause of action, or that Plaintiff cannot avoid the Amendment on a theory of economic duress. The release language quoted in the moving papers is incomplete, terminating mid-clause ("... and Stratton International,"), and its full terms and scope are not before the Court. As to duress, Plaintiff does not plead duress as a cause of action and does not seek rescission; the Court notes only that a party who retains the benefit of an amendment (here, a \$90,000 price reduction) faces a substantial obstacle in disavowing its burdens. Both issues are preserved for any demurrer to an amended pleading.

Therefore, the Court grants Plaintiff leave to amend so that he may remedy the defects identified above, to the extent they can be remedied, and state a cause of action for breach of contract.

c. Second Cause of Action – Intentional Interference with Prospective Business Advantage and Third Cause of Action – Negligent Interference with Prospective Business Advantage

The elements of a claim for intentional interference with prospective economic advantage include "(1) an economic relationship between the plaintiff and some third party, with the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentional [or negligent] acts on the part of the defendant designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm to the plaintiff proximately caused by the acts of the defendant." (Crown Imports, LLC v. Superior Court (2014) 223 Cal.App.4th 1395, 1404 (internal citations omitted).) Further, "the alleged interference must have been wrongful by some measure beyond the fact of the interference itself. For an act to be sufficiently independently wrongful, it must be unlawful, that is, it is proscribed by some constitutional, statutory, regulatory, common law, or other determinable legal standard." (Ibid.)

"The elements of negligent interference with prospective economic advantage are (1) the existence of an economic relationship between the plaintiff and a third party containing the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) the defendant's knowledge (actual or construed) that the relationship would be disrupted if the defendant failed to act with reasonable care; (4) the defendant's failure to act with reasonable care; (5) actual disruption of the relationship; and (6) economic harm proximately caused by the defendant's negligence." (Redfearn v. Trader Joe's Co. (2018) 20 Cal.App.5th 989, 1005, abrogated on another ground by Ixchel Pharma, LLC v. Biogen, Inc. (2020) 9 Cal.5th 1130, 1148.)

Defendants argue that the complaint fails to state facts sufficient to constitute a cause of action because Plaintiff fails to identify any third party customer with whom Plaintiff's relationship was interfered. (Demurrer, p. 10:2-3, 10:16-18.) Defendants further assert that the complaint fails to allege any intentional act by Defendants other than their lack of

cooperation to assist Plaintiff with utilities, cooperation which was expressly disclaimed by Plaintiff. (Demurrer, p. 10:4-5.) Defendants further argue that the second cause of action is barred by the applicable two-year statute of limitation, which Defendants aver began to run at the earliest on October 6, 2022, when Plaintiff accepted Madera's counteroffer and agreed to assume responsibility for installation of utilities, and at the latest, on May 9, 2023, when Plaintiff learned he could not obtain an SBA loan due to the utility issues. (Demurrer, p. 11:20-21, 25-27, 12:3-6.)

In opposition, Plaintiff argues that these causes of action are not barred by the statute of limitations because Defendants rely on the incorrect dates. (Opp., p. 7:25.) Plaintiff contends that the statute begins to run on May 23, 2025, the date of Plaintiff's last communication with Defendants, as he relied on their active communications with Plaintiff which led him to believe they were willing to cooperate in restoring utilities to the Property. (Opp., p. 8:3-7.)

i. Statute of Limitations

Causes of action for intentional and negligent interference with prospective business advantage are subject to a two-year statute of limitations. (Code Civ. Proc., § 339; *Guess, Inc. v. Superior Court* (1986) 176 Cal. App. 3d 473, 478.) "The statute of limitations generally commences when a cause of action 'accrues,' and it is generally said that 'an action accrues on the date of injury.'" (*Jolly v. Eli Lilly & Co.* (1988) 44 Cal.3d 1103, 1109 []). Alternatively, it is often stated that the statute commences 'upon the occurrence of the last element essential to the cause of action.' [Citations.] These general principles have been significantly modified by the common law 'discovery rule,' which provides that the accrual date may be 'delayed until the plaintiff is aware of her injury and its negligent cause.' (*Jolly v. Eli Lilly & Co.*, supra, 44 Cal.3d at p. 1109.)" (*Bernson v. Browning-Ferris Indus.* (1994) 7 Cal. 4th 926, 931.)

Courts have held that in regard to interference with prospective business advantage claims, the statute of limitations may begin to run when the allegedly wrongful act occurred. (See *Knoell v. Petrovich* (1999) 76 Cal.App.4th 164, 168 [where interference claim was based upon publication of defamatory statements, "the statute of limitations commenced to run when the alleged defamatory statements were published"].) However, the discovery rule may delay the running of the limitations period where the plaintiff has not discovered the facts essential to a particular cause of action, but only until such facts are known, or the plaintiff is put on inquiry notice. (*Bernson*, supra, (1994) 7 Cal.4th at p. 941.) In any event, "[i]f the plaintiff is aware of facts that would put a reasonable person on inquiry,' such knowledge is sufficient to start the running of the statute of limitations. [Citation.] Once the plaintiff suspects wrongdoing, the plaintiff 'must go find the facts' and cannot wait for the facts to find the plaintiff." (*Ibid.*)

Here, the complaint states that as a result of Defendants' execution of the Agreement and failure to cooperate in restoring utilities, Plaintiff's business "could barely function thereby directly disrupting the relationship as between Plaintiff and its existing (and new) customers," that Plaintiff "has lost existing business, and its new business is suffering due to the impaired condition of the Property that makes it almost impossible for Plaintiff to operate," that "Defendants knew that Plaintiff's automotive business could not function without water and power," and that "Defendants' actions, or inaction, caused actual disruption of the relationship between Plaintiff and its existing and future customers." (Compl., ¶¶ 52-53, 58-59.)

As a preliminary matter, the Court rejects Plaintiff's argument that his reliance on Defendants' communications with Plaintiff through May of 2025 establishes that the statute began running in May of 2025. Where Plaintiff was aware of facts putting a reasonable person on inquiry notice of wrongdoing, he had a duty to investigate, and the complaint sets forth no facts indicating that Defendants were communicating with Plaintiff regularly, nor that they were communicating with Plaintiff as late as May 23, 2025. Indeed, Defendants did not respond to this correspondence.

Plaintiff's allegations in the Complaint, taken as a whole and as truth, establish that (1) Plaintiff agreed to take responsibility for completing installation of utilities as early as October 6, 2022, (2) Plaintiff took possession of the Property pursuant to the Lease for operation of his business on or around January 30, 2023 with full knowledge that the Property lacked water and electricity and that the responsibility to bring utilities to the Property were his, (3) that Plaintiff began the process for connecting electricity to the Property on February 6, 2023, when he learned that the process had to be handled by Defendants, (4) that on August 4, 2023, the parties agreed to amend escrow instructions to extend escrow by up to 12 months to provide Plaintiff additional time to resolve the utility issues, (5) that power was ultimately restored absent any cooperation from Defendants on January 18, 2024, (6) that Plaintiff's business was inoperable and business was lost due to

the lack of power and water resulting from Defendants' non-cooperation in re-establishing utilities, and (7) Plaintiff is bringing the present suit in part due to the costs incurred in establishing electrical power to the Property due to Defendants' failure to cooperate from February of 2023.

Based on the foregoing circumstances as alleged in the complaint, the Court finds that Plaintiff knew or should have known all facts giving rise to these interference causes of action on August 4, 2023 at the absolute latest. By this date, the parties had signed the Agreement, the Amendment, and the Lease, Plaintiff knew there was no power or water on the Property, Plaintiff had been occupying the Property and attempting to establish power for approximately six months, during which time the conditions that rendered his business essentially inoperable existed, Defendants allegedly failed to cooperate in that time, and the Parties agreed to extend escrow to give Plaintiff additional time to re-establish utility service.

Plaintiff's own exhibits confirm that he attributed his difficulties to Madera well before that date. On June 13, 2023, Plaintiff's representative in the sale, Robert Stratton, sent an email to Michelle (presumably Royal) stating: "The Buyer [Plaintiff] needs to have the Property deed into his name so that he can have the ability to have the utilities installed into the Property. Please ask the Seller [Madera] to consider the circumstances and carry the paper for just 1 year with the 10% down payment terms which [Plaintiff] has been approved for with the SBA loan which will payoff the Seller's owner carry loan after the utilities are installed to the Property. [Plaintiff] is having to put all his excess cash into handling all the challenges with installing power and water service to the Property." (Compl., Ex. 7.)

Furthermore, the May 23, 2025 correspondence Plaintiff relies upon to establish the commencement of the limitations period is not relevant to the issue of disruption of business and failure to cooperate with reestablishing utilities. By May of 2025, power had been restored to the Property, and the email sent to Defendants was an offer from Plaintiff to sign a deed-in-lieu of foreclosure if he was unable to secure financing or defaulted on the Lease, and establishing Plaintiff's unwillingness to invest the approximately \$200,000 required for his business to prosper under a renewed Lease. (Compl., Ex. 8.) There are no allegations in the complaint that Plaintiff was in constant communication with Defendants, and the complaint itself alleges that electrical power was brought to the Property by January 18, 2024.

Therefore, on or before August 4, 2023, the facts giving rise to these two causes of action existed, were known to Plaintiff, and the limitations period began to run. Two years from that date is August 4, 2025. The complaint was not filed until December 8, 2025.

These causes of action are therefore barred by the statute of limitations.

Independently, and as alternative grounds that do not depend on the limitations analysis, the complaint fails to state either interference cause of action for two further reasons. First, Plaintiff identifies no specific third party with whom he had an economic relationship. The complaint refers only to "its existing (and new) customers" and to a business "repairing RVs." An interference claim requires an existing relationship with a particular third party carrying the probability of future economic benefit; an undifferentiated body of prospective customers will not suffice. (*Westside Center Associates v. Safeway Stores 23, Inc.* (1996) 42 Cal.App.4th 507, 522-527.) Second, Plaintiff alleges no independently wrongful act. The only conduct alleged is Madera's asserted failure to cooperate under the parties' own contracts, and a breach of contract is not conduct "proscribed by some constitutional, statutory, regulatory, common law, or other determinable legal standard." (*Khoury v. Maly's of California, Inc.* (2003) 29 Cal.4th 1134, 1158-1159.)

Accordingly, Defendants' demurrer to the second and third causes of action is SUSTAINED without leave to amend.

d. Fourth Cause of Action – Fraud

"The elements of fraud are (a) a misrepresentation (false representation, concealment, or nondisclosure); (b) scienter or knowledge of its falsity; (c) intent to induce reliance; (d) justifiable reliance; and (e) resulting damage." (*Hinesley v. Oakshade Town Ctr.* (2005) 135 Cal.App.4th 289, 294.) The facts constituting the alleged fraud must be alleged factually and specifically as to every element of fraud, as the policy of "liberal construction" of the pleadings will not ordinarily be invoked.

(Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.) To properly allege fraud against a corporation, the plaintiffs must plead the names of the persons allegedly making the false representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 157.)

Defendants argue the fourth cause of action fails because Plaintiff relies on Defendants' representation that they would work with Plaintiff to restore utilities, but Plaintiff disclaimed any such work or assistance in the Amendment. (Demurrer, p. 10:26-28.) Defendants further contend that Plaintiff does not describe what representation was made, what 'work with' means, and recognizes that any alleged assistance would be provided by Madera, the Property owner, and not the Hoppes, removing any individual liability. (Demurrer, p. 11:1-4.)

Defendants also assert that the fraud cause of action fails because it is barred by the statute of limitations. (Demurrer, p. 12:8.) Specifically, Defendants argue fraud claims are subject to a three-year statute of limitations, which began to run on October 6, 2022, when Plaintiff accepted Madera's counteroffer for purchase of the Property, agreed to assuming responsibility for bringing power and water to the Property, and reserved a 30-day period to review the costs of those processes. (Demurrer, p. 12:8-13.)

In opposition, Plaintiff argues that the agreements between the parties and the performance required stretched throughout the years due to the utilities issue, and in light of the circumstances referenced above, the limitations period did not commence until May 23, 2025 at the earliest. (Opp., p. 8:12-22.) Further, Plaintiff contends that even where he agreed to bear the cost and responsibility of the utility installation, this does not excuse the fact that practically speaking, Plaintiff was unable to do so, and utility installation was impossible, absent Defendants' cooperation. (Opp., p. 6:16-21.)

Plaintiff's fraud cause of action rests on two theories: (1) Defendants' failure to advertise the Property as lacking certain utilities, and (2) Defendants' representations that they would work with Plaintiff to restore utilities. (Compl., ¶ 63.) The Court addresses each in turn.

To the extent that Plaintiff argues fraud in the advertisement of the Property, the Court finds this argument is time-barred by the three year statute of limitations. By September 27, 2022, Plaintiff was on notice that dedicated power and water had not yet been brought to the Property, as reflected in Madera's counteroffer of that date. On October 6, 2022, Plaintiff entered into the Agreement for Purchase of the Property with knowledge that it was without utilities. The advertisement of the Property certainly occurred before this date. Accordingly, from the date Plaintiff knew of all facts giving rise to this cause of action, which was September 27, 2022 at the latest, he had three years to bring a fraud claim for false advertisement of the Property. Three years from that date is September 27, 2025. The current action was not brought until December of 2025. Therefore, any fraud cause of action for false advertisement is time-barred.

However, as to Defendants' false representations that they would work with Plaintiff to restore utilities, for the reasons stated above as to the interference causes of action, the Court finds that the limitations period began to run on or around August 4, 2023. Three years from that date is August 4, 2026. Because the complaint was filed on December 8, 2025, this theory is not time-barred.

Plaintiff's opposition also asserts a third, distinct theory: that Defendants concealed that the utilities serving the Property were, at the time of sale, provided illegally. (Opp., p. 3:1-4.) A seller of real property has a duty to disclose material facts known to the seller and not known to or reasonably discoverable by the buyer, and an "as is" clause does not shield a seller from liability for the concealment of such facts. (Lingsch v. Savage (1963) 213 Cal.App.2d 729, 735-736; Calemine v. Samuelson (2009) 171 Cal.App.4th 153, 161-162; Wilson v. Century 21 Great Western Realty (1993) 15 Cal.App.4th 298, 304.) The accrual date for a concealment theory is not the date Plaintiff learned the Property lacked utilities, but the date he discovered, or reasonably should have discovered, that the utilities then in place were unlawful. The complaint does not plead when that occurred, or the who, what, when and how of the concealment. This theory is therefore not adequately pleaded, but it is not barred on the face of the complaint, and Plaintiff is granted leave to amend as to it.

The Court finds that Plaintiff's fraud cause of action is not pled with the requisite specificity. For example, while Plaintiff asserts that Defendants represented that they would cooperate with Plaintiff in restoring utilities, Plaintiff provides no date of

any such statements, who said them, what was said, how Plaintiff relied on such statements, or how such reliance was justified. Further, as to the Hoppes, Plaintiff has failed to state facts sufficient to establish that any such representations were made in an individual capacity and not on behalf of seller Madera. And there are certainly no allegations of fact that Defendants' representations of cooperation were false; that is, made with no intention of performing the representations.

In light of these circumstances, Plaintiff has failed to state facts sufficient to constitute a fraud cause of action, and the demurrer is SUSTAINED with leave to amend as to Plaintiff's reliance on the Defendants' statements of cooperation in restoring utilities. Plaintiff is not granted leave to amend to allege that the mere absence of dedicated utilities was falsely advertised, as that theory is time-barred and is contradicted by the exhibits and factual allegations set forth in the complaint. Leave to amend is granted as to the alleged misrepresentations of cooperation and as to the alleged concealment of the unlawful status of the utilities then serving the Property.

e. Fifth Cause of Action – Unfair Business Practices [Business and Professions Code Section 17200]

Business and Professions Code section 17200 describes unfair competition as “any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising and any act prohibited by Chapter 1 (commencing with Section 17500) of Part 3 of Division 7 of the Business and Professions Code.” (Bus. & Prof. Code, § 17200.) An “unlawful business act” includes “anything that can properly be called a business practice and that at the same time is forbidden by law.” (People v. McKale, (1979) 25 Cal.3d 626, 632.) A plaintiff alleging unfair business practices “must state with reasonable particularity the facts supporting the statutory elements of the violation.” (Khoury v. Maly's of California, Inc., (1993) 14 Cal.App.4th 612, 619 Claims under the Unfair Competition Law are subject to a four-year limitations period (Bus. & Prof. Code, § 17208), and the available remedies are limited to restitution and injunctive relief; compensatory damages are not recoverable. (Korea Supply Co. v. Lockheed Martin Corp. (2003) 29 Cal.4th 1134, 1144, 1148.)

A cause of action for unfair competition “is not an all-purpose substitute for a tort or contract action.” (Cortez v. Purolator Air Filtration Products Co. (2000) 23 Cal.4th 163, 173.)

Defendants argue that the complaint fails to state facts sufficient to constitute a cause of action for unfair business practices because the cause of action is based on the allegation that Defendants said they would work with Plaintiff as to the utilities, failed to do so, and preyed upon Plaintiff's weak position, despite Plaintiff specifically disclaiming such assistance. (Demurrer, p. 11:8-11.)

In opposition, Plaintiff asserts that Defendants initially violated Business and Professions Code section 17200 by false advertising by listing the Property for sale without any indication the Property did not have utilities, and further that it was understood between the Parties that Plaintiff could not call the utility companies as a prospective buyer and demand the utilities be transferred. (Opp., p. 9:13-18.)

The complaint alleges that Defendants entered into the Agreement knowing the Property was without utilities, did not advertise the Property as a building without utilities, agreed to work with Plaintiff to restore said utilities, have failed to do so, and preyed upon Plaintiff's weak position to induce Plaintiff to enter into the Agreement. (Compl., ¶¶ 69-71.)

Here, the Court finds that Plaintiff has not stated facts sufficient to constitute a cause of action. While falsely advertising real property and omitting mention that the Property is without utilities may constitute unlawful false advertising under Section 17200, Plaintiff has not put forth sufficient facts to establish that this cause of action is tenable. For example, Plaintiff has not stated when the advertisement was posted, where it was posted, who posted it, to whom it was directed, whether at the time of advertisement, the Property was without power and water, what the advertisement contained or omitted, or any other factual allegations beyond the statement that “Defendants did not advertise the Property as without certain utilities.” (Compl., ¶ 69.) In fact, the Complaint states that power to the Property was shut off around September 27, 2022, when SCE terminated power to the adjacent building to the Property, after Plaintiff had already begun negotiations with Defendants to purchase the Property. (Compl., ¶ 18.) Further, as to the Hoppes, Plaintiff has failed to state facts sufficient to establish that any such representations were made in an individual capacity and not on behalf of seller Madera.

The Court further notes that Plaintiff prays for damages on this cause of action. Damages are not an available remedy under the Unfair Competition Law, and any amended pleading should confine the relief sought on this claim to restitution and injunctive relief. (*Korea Supply Co. v. Lockheed Martin Corp.*, supra, 29 Cal.4th at pp. 1144, 1148.) Accordingly, the demurrer to the fifth cause of action is SUSTAINED with leave to amend.

VI. Conclusion

The Demurrer of Defendants Madera Holdings of CA, LLC, Douglas G. Hoppe, and Angela M. Hoppe to the Complaint is SUSTAINED with leave to amend as to the first, fourth, and fifth causes of action.

The demurrer is SUSTAINED without leave to amend as to the second and third causes of action.